

Assignment Week 2

Working Capital Insight

Cash-Generative Structure: Sun Pharma is structurally cash-generative across all three years, with operations consistently yielding substantial cash inflows before working capital movements.

Trend Driver (FY2024): In FY2024, the positive cash trend was heavily driven by a decrease in inventory (releasing **₹5,988.1 Million**) and a decrease in debtors (releasing **₹3,528.9 Million**).

Trend Driver (FY2025): In FY2025, the trend shifted as trade receivables expanded significantly, consuming **₹16,020.5 Million** in cash, which partially offset steady gains made from rising trade payables (**₹5,279.7 Million**).

Sun Pharma consistently generated massive cash profits year after year:

- **FY2023:** +₹121,309.9 Million
- **FY2024:** +₹126,422.9 Million
- **FY2025:** +₹148,724.9 Million

Cash Flow Observation

OCF vs. PAT Relationship: Operating Cash Flow (OCF) consistently outpaces Profit After Tax (PAT) in both FY2024 (OCF of **₹121,349.8 Million** vs. PAT of **₹95,764.0 Million**) and FY2025 (OCF of **₹140,720.9 Million** vs. PAT of **₹109,290.0 Million**).

FY2023 Anomaly: An anomaly occurred in FY2023 where OCF (**₹49,593.3 Million**) dropped significantly below PAT (**₹84,736.0 Million**).

Cause of Anomaly: This drop was primarily caused by a severe working capital drag from provisions, which consumed **₹38,038.6 Million** in cash, alongside cash outflows directed into expanding inventory and trade receivables.